

Apple Inc.

CONDENSED CONSOLIDATED STATEMENTS OF OPERATIONS (Unaudited)

(In millions, except number of shares, which are reflected in thousands, and per-share amounts)

	Three Months Ended		Six Months Ended	
	March 29, 2025	March 30, 2024	March 29, 2025	March 30, 2024
Net sales:				
Products	\$ 68,714	\$ 66,886	\$ 166,674	\$ 163,344
Services	26,645	23,867	52,985	46,984
Total net sales ⁽¹⁾	95,359	90,753	219,659	210,328
Cost of sales:				
Products	44,030	42,424	103,477	100,864
Services	6,462	6,058	13,040	12,338
Total cost of sales	50,492	48,482	116,517	113,202
Gross margin	44,867	42,271	103,142	97,126
Operating expenses:				
Research and development	8,550	7,903	16,818	15,599
Selling, general and administrative	6,728	6,468	13,903	13,254
Total operating expenses	15,278	14,371	30,721	28,853
Operating income	29,589	27,900	72,421	68,273
Other income/(expense), net	(279)	158	(527)	108
Income before provision for income taxes	29,310	28,058	71,894	68,381
Provision for income taxes	4,530	4,422	10,784	10,829
Net income	\$ 24,780	\$ 23,636	\$ 61,110	\$ 57,552
Earnings per share:				
Basic	\$ 1.65	\$ 1.53	\$ 4.06	\$ 3.72
Diluted	\$ 1.65	\$ 1.53	\$ 4.05	\$ 3.71
Shares used in computing earnings per share:				
Basic	14,994,082	15,405,856	15,037,903	15,457,810
Diluted	15,056,133	15,464,709	15,103,499	15,520,675
⁽¹⁾ Net sales by reportable segment:				
Americas	\$ 40,315	\$ 37,273	\$ 92,963	\$ 87,703
Europe	24,454	24,123	58,315	54,520
Greater China	16,002	16,372	34,515	37,191
Japan	7,298	6,262	16,285	14,029
Rest of Asia Pacific	7,290	6,723	17,581	16,885
Total net sales	\$ 95,359	\$ 90,753	\$ 219,659	\$ 210,328
⁽¹⁾ Net sales by category:				
iPhone	\$ 46,841	\$ 45,963	\$ 115,979	\$ 115,665
Mac	7,949	7,451	16,936	15,231
iPad	6,402	5,559	14,490	12,582
Wearables, Home and Accessories	7,522	7,913	19,269	19,866
Services	26,645	23,867	52,985	46,984
Total net sales	\$ 95,359	\$ 90,753	\$ 219,659	\$ 210,328

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CONDENSED CONSOLIDATED BALANCE SHEETS (Unaudited)

(In millions, except number of shares, which are reflected in thousands, and par value)

	March 29, 2025	September 28, 2024
ASSETS:		
Current assets:		
Cash and cash equivalents	\$ 28,162	\$ 29,943
Marketable securities	20,336	35,228
Accounts receivable, net	26,136	33,410
Vendor non-trade receivables	23,662	32,833
Inventories	6,269	7,286
Other current assets	14,109	14,287
Total current assets	<u>118,674</u>	<u>152,987</u>
Non-current assets:		
Marketable securities	84,424	91,479
Property, plant and equipment, net	46,876	45,680
Other non-current assets	81,259	74,834
Total non-current assets	<u>212,559</u>	<u>211,993</u>
Total assets	<u><u>\$ 331,233</u></u>	<u><u>\$ 364,980</u></u>
LIABILITIES AND SHAREHOLDERS' EQUITY:		
Current liabilities:		
Accounts payable	\$ 54,126	\$ 68,960
Other current liabilities	61,849	78,304
Deferred revenue	8,976	8,249
Commercial paper	5,982	9,967
Term debt	13,638	10,912
Total current liabilities	<u>144,571</u>	<u>176,392</u>
Non-current liabilities:		
Term debt	78,566	85,750
Other non-current liabilities	41,300	45,888
Total non-current liabilities	<u>119,866</u>	<u>131,638</u>
Total liabilities	<u>264,437</u>	<u>308,030</u>
Commitments and contingencies		
Shareholders' equity:		
Common stock and additional paid-in capital, \$0.00001 par value: 50,400,000 shares authorized; 14,939,315 and 15,116,786 shares issued and outstanding, respectively	88,711	83,276
Accumulated deficit	(15,552)	(19,154)
Accumulated other comprehensive loss	(6,363)	(7,172)
Total shareholders' equity	<u>66,796</u>	<u>56,950</u>
Total liabilities and shareholders' equity	<u><u>\$ 331,233</u></u>	<u><u>\$ 364,980</u></u>

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CONDENSED CONSOLIDATED STATEMENTS OF CASH FLOWS (Unaudited)

(In millions)

	Six Months Ended	
	March 29, 2025	March 30, 2024
Cash, cash equivalents, and restricted cash and cash equivalents, beginning balances	\$ 29,943	\$ 30,737
Operating activities:		
Net income	61,110	57,552
Adjustments to reconcile net income to cash generated by operating activities:		
Depreciation and amortization	5,741	5,684
Share-based compensation expense	6,512	5,961
Other	(2,217)	(1,971)
Changes in operating assets and liabilities:		
Accounts receivable, net	7,266	7,727
Vendor non-trade receivables	9,171	12,164
Inventories	858	53
Other current and non-current assets	(4,371)	(4,438)
Accounts payable	(14,604)	(16,710)
Other current and non-current liabilities	(15,579)	(3,437)
Cash generated by operating activities	53,887	62,585
Investing activities:		
Purchases of marketable securities	(12,442)	(25,042)
Proceeds from maturities of marketable securities	26,587	27,462
Proceeds from sales of marketable securities	5,210	4,314
Payments for acquisition of property, plant and equipment	(6,011)	(4,388)
Other	(635)	(729)
Cash generated by investing activities	12,709	1,617
Financing activities:		
Payments for taxes related to net share settlement of equity awards	(3,205)	(2,875)
Payments for dividends and dividend equivalents	(7,614)	(7,535)
Repurchases of common stock	(49,504)	(43,344)
Repayments of term debt	(4,009)	(3,150)
Repayments of commercial paper, net	(3,968)	(3,982)
Other	(77)	(132)
Cash used in financing activities	(68,377)	(61,018)
Increase/(Decrease) in cash, cash equivalents, and restricted cash and cash equivalents	(1,781)	3,184
Cash, cash equivalents, and restricted cash and cash equivalents, ending balances	\$ 28,162	\$ 33,921
Supplemental cash flow disclosure:		
Cash paid for income taxes, net	\$ 31,683	\$ 14,531